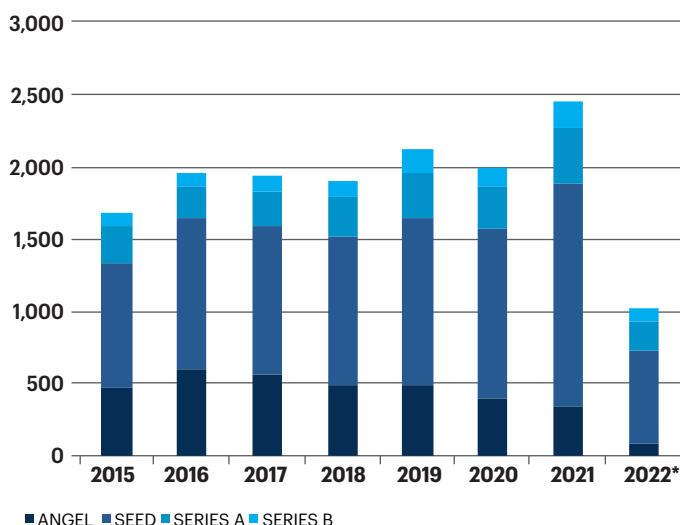


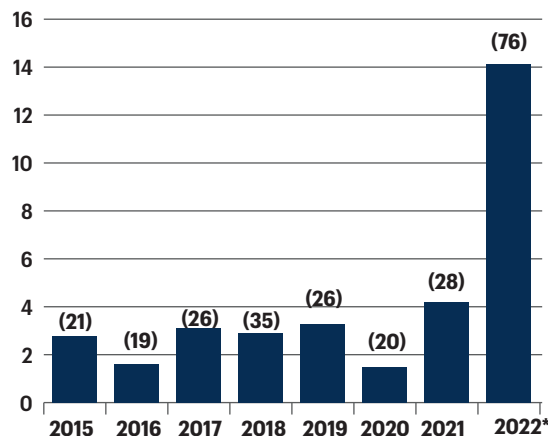
...though deal numbers have to catch up



*TILL JUNE 2022; NUMBER OF FUNDING ROUNDS; **SOURCE** TRACXN

A BAGFUL OF MONEY

The amount of money fronted by India-focused PE & VC funds has tripled in 2022



*TILL JUNE 2022; TOTAL FUND SIZE IN \$ BILLION; FIGURES IN BRACKETS INDICATE THE NUMBER OF FUNDS FOR THE RESPECTIVE YEAR; **SOURCE:** PREQIN, SVB ANALYSIS

up, GetVantage. “While there is a strong appetite for investment, and usual cheques ranging up to \$10 million are still being written, the VCs are negotiating hard around valuations; doing more follow-on rounds; asking founders to prioritise profitability over growth; and even pivoting to more profitable models,” says Vasa, whose start-up recently raised around \$36 million in a strategic growth round through debt and equity.

This assumes significance as profitability is a rare occurrence in start-ups, and even some well-known ventures come with huge losses, as a result of which metrics like gross merchandise value (GMV) are commonly used to justify their high valuations. Incidentally, when well-known companies like Zomato, Paytm and Policybazaar listed on the bourses, the phrase, ‘path to profitability’ was freely bandied about on Dalal Street to pitch them to potential investors.

“In early-stage ventures, there are enough white spaces that provide

ample opportunities for founders to create a mark. For soonicorns and unicorns, the path to growth means to have a hold on the bottom line. It is imperative to cautiously burn [cash], and focus on gross profits,” explains Das of Agility Ventures.

In a similar context, Vardhan Koshal, Co-founder of Tortoise, a start-up that facilitates saving for large future purchases, believes that it is more about valuation, and less about the funding stage of a start-up. “It would be near impossible for start-ups to raise money at the same [higher] valuation as last year, given everything else remains equal. By this logic, raising funding at the ‘corrected’ [lower] valuations now should be easier,” explains Koshal.

WEATHER REPORT

Vasa of GetVantage believes that start-ups that have not been mindful of hiring practices and growth are going to be affected deeply, and they will need to take measures such as mass lay-offs and cutbacks

to keep abreast of the challenges.

That’s not all. Vipen Jain, Co-founder of a plant-based health and wellness start-up Fitspire, feels that investors are hesitant to invest at an early stage as the fear of failure is high, but things are starting to look up slowly.

Tanul Mishra, Founder of Bengaluru-based fintech-focused incubator Afthonia Lab, sums it up nicely when she says that while early-stage start-ups are seeing capital flow in, late-stage ventures are facing challenges in raising funds due to their massive valuations. “This is the time we will see great start-ups come out, and showcase their strengths, which will help India to develop a better entrepreneurial ecosystem,” she adds.

It may not be winter yet for early-stage start-ups, but if they do not learn from the actions—many call them mistakes—of their larger counterparts, winter will soon be upon them too. And it may last much longer than expected. **BT**

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